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Case Number: 20STCV18687 Hearing Date: August 3, 2026 Dept: 224

Patel Burica & Associates v. Jason Lin, et al.,

TENTATIVE RULING

Plaintiff's Supplemental/Second Amended Motion for Terminating, Issue, Evidentiary and Monetary Sanctions is GRANTED IN PART and DENIED IN PART.

The request for terminating sanctions is DENIED.

The request for issue sanctions is GRANTED in part. The Court hereby orders issue sanctions that (1) JKL's annual gross income for each year for which no financial data has been produced is deemed to be the average of the years for which some financial data exists; AND (2) Defendants are precluded from offering evidence or argument that they did not possess or use PBA's software, programs, and macros to generate their design product.

Monetary sanctions are GRANTED in the amount of $68,615.50 against Defendants Jason Lin and JKL Structural Engineering, Inc., jointly and severally, payable to Plaintiff's counsel within 30 days of notice of this order.

ANALYSIS

Introduction

The Complaint in this action was filed on May 15, 2020. The First Amended Complaint was filed on February 16, 2021.

On September 8, 2025, Plaintiff Patel Burica & Associates filed a Motion for Terminating Sanctions.

On February 23, 2026, Plaintiff filed an Amended Motion for Terminating Sanctions.

On March 19, 2026, the Court heard the Amended Motion and ordered Defendants to produce all previously ordered documents by April 17, 2026, as kept in the ordinary course of business; ordered Plaintiff to report on compliance by April 24, 2026; and set an Informal Discovery Conference for April 30, 2026.

On April 30, 2026, the Court held an Informal Discovery Conference and ordered Defendants to produce, by May 15, 2026, all documents previously ordered through the end of 2025, including QuickBooks data in native format, bank statements, proposals, invoices, and all software and macros previously or currently in Defendants' possession. The Court continued the Motion to August 3, 2026 and continued trial to November 2, 2026.

On June 2, 2026, the Court held a further Informal Discovery Conference, again ordered production by June 19, 2026, ordered Defendants to serve verified supplemental responses explaining the loss or destruction of any unproduced material, and set a compliance hearing for June 26, 2026.

On June 25, 2026, Defendants served amended supplemental responses.

On June 26, 2026, the Court held a further Informal Discovery Conference and ordered supplemental briefing on the Motion.

On July 10, 2026, Plaintiff filed a Supplemental/Second Amended Motion for Terminating, Issue, Evidentiary and Monetary Sanctions, with the Supplemental Declaration of Noel E. Macaulay and a Compendium of previously filed material.

On July 21, 2026, Defendants filed a Supplemental Opposition and the Declaration of Jason Lin.

Motion for Sanctions

Plaintiff Patel Burica & Associates, Inc. moves the Court for an Order imposing terminating, issue or evidentiary sanctions against Defendants Jason Lin and JKL Structural Engineering, Inc., along with monetary sanctions in the amount of $68,615.50 against Defendants and/or their counsel, on the grounds that Defendants failed to comply with this Court's Orders of March 19, 2026, April 30, 2026 and June 2, 2026, and the prior order of the predecessor court, requiring production of the software, programs and macros, financial records, client contracts, and project files at issue, and further destroyed evidence they were on notice to preserve.

Legal Standard

If a party fails to obey a court order compelling it to provide a discovery response, “the court may make those orders that are just, including the imposition of an issue sanction, an evidence sanction, or a terminating sanction . . . In lieu of or in addition to this sanction, the court may impose a monetary sanction . . . .” (CCP §§ 2030.290(c), 2030.300(e), 2031.300(c), 2031.320(c).)

“The court may impose a monetary sanction ordering that one engaging in the misuse of the discovery process, or any attorney advising that conduct, or both pay the reasonable expenses, including attorney's fees, incurred by anyone as a result of that conduct. The court may also impose this sanction on one unsuccessfully asserting that another has engaged in the misuse of the discovery process, or on any attorney who advised that assertion, or on both. If a monetary sanction is authorized by any provision of this title, the court shall impose that sanction unless it finds that the one subject to the sanction acted with substantial justification or that other circumstances make the imposition of the sanction unjust.” (CCP § 2023.030(a).)

“The court may impose an issue sanction ordering that designated facts shall be taken as established in the action in accordance with the claim of the party adversely affected by the misuse of the discovery process. The court may also impose an issue sanction by an order prohibiting any party engaging in the misuse of the discovery process from supporting or opposing designated claims or defenses.” CCP § 2023.030(b).

“The court may impose an evidence sanction by an order prohibiting any party engaging in the misuse of the discovery process from introducing designated matters in evidence.” CCP § 2023.030(c).

“Dismissal is a proper sanction to punish the failure to comply with a rule or an order only if the court's authority cannot be vindicated through the imposition of a less severe alternative.” (Rail Services of America v. State Comp. Ins. Fund (2003) 110 Cal.App.4th 323, 331. See also Mileikowsky v. Tenet Healthsystem (2005) 128 Cal.App.4th 262, 279-80 (“A decision to order terminating sanctions should not be made lightly. But where a violation is willful, preceded by a history of abuse, and the evidence shows that less severe sanctions would not produce compliance with the discovery rules, the trial court is justified in imposing the ultimate sanction.”); R.S. Creative, Inc. v. Creative Cotton, Ltd. (1999) 75 Cal.App.4th 486, 496 (“The power to impose discovery sanctions is a broad discretion subject to reversal only for arbitrary, capricious, or whimsical action.

It is a commonly stated axiom that discovery sanctions “should be appropriate to the dereliction and should not exceed that which is required to protect the interests of the party entitled to but denied discovery.”¿¿Deyo v. Kilbourne¿(1978) 84 Cal.App.3d 771, 793. Discovery sanctions are not to be imposed for punishment, but instead are used to encourage fair disclosure of discovery to prevent unfairness resulting for the lack of information.¿Electronic Funds Solutions, LLC v. Murphy¿(2005) 134 Cal.App.4th 1161, 1183;¿McGinty v. Sup. Ct.¿(1994) 26 Cal.App.4th 204, 214;¿Midwife v. Bernal¿(1988) 203 Cal.App.3d 57, 64, superseded on other grounds as stated in¿Kohan v. Cohan¿(1991) 229 Cal.App.3d 967, 971.

Before issuing a sanction, a trial court “should consider both the conduct being sanctioned and its effect on the party seeking discovery and, in choosing a sanction, should attempt to tailor the sanction to the harm caused by the withheld discovery.” Doppes v. Bentley Motors, Inc. (2009) 174 Cal.App.4th 967, 992; Caryl Richards, Inc. v. Superior Court (1961) 188 Cal.App.2d 300, 304. A violation of one discovery order is sufficient for the imposition of sanctions pursuant to CCP § 2023.030. See¿Collison & Kaplan v. Hartunian¿(1994) 21 Cal.App.4th 1611, 1620-1621.

Discussion

Following four separate IDCs on the issues, on June 26, 2026, this Court observed that the process had “gone as far as it could with what Jason Lin was willing to produce” and ordered the parties to supply supplemental, amended briefings, on the instant Motion for Sanctions.

Plaintiff contends that terminating, issue, and monetary sanctions are warranted for Defendants’ continued failure to produce documents despite this Court’s orders. Namely, Plaintiff's position is that, despite the Court's months of intervention, Defendants still has not produced the software, macros, or programs (admitted in 2021 verified responses to exist), has provided no genuine explanation for their disappearance, has produced QuickBooks data that omitted the pre-2019 years and Excel financials Lin admitted destroying, has produced empty early-period project folders, and has never produced a single contract.

In opposition, Defendants contend that the PBA files were on a computer discarded in 2016, a 2019 hard-drive crash corrupted files that then failed to migrate through successive cloud accounts (leaving the empty folders), old drives were destroyed to prevent identity theft rather than to spoliate, and paper proposals were lost in home moves. Defendants represented that Lin had produced over 45 gigabytes of native files since March 2026 and served amended supplemental responses on June 25, 2026 clarifying that the original PBA materials were no longer in his possession.

Terminating Sanctions

The record before the Court amply supports the conclusion that Defendants’ conduct across the life of this case has been dilatory and, at points, obstructive. The multi-year history of unfulfilled promises to produce and the continued failure, despite four IDCs, to produce court-ordered software, macros, contracts, and complete financial records are serious and reflect a pattern of abuse.

Nevertheless, the Court declines to impose the ultimate sanction at this juncture. Numerous cases hold that severe sanctions (i.e., terminating sanctions or evidentiary sanctions) for failure to comply with a court order are allowed only where the failure was willful. (See R.S. Creative, Inc. v. Creative Cotton, Ltd. (1999) 75 Cal.App.4th 486, 495; Vallbona v. Springer (1996) 43 Cal.App.4th 1525, 1545; Biles v. Exxon Mobil Corp. (2004) 124 Cal.App.4th 1315, 1327).

“Discovery sanctions must be tailored in order to remedy the offending party's discovery abuse, should not give the aggrieved party more than what it is entitled to, and should not be used to punish the offending party.” (Karlsson v. Ford Motor Co. (2006) 140 Cal.App.4th 1202, 1217.) “Dismissal is a proper sanction to punish the failure to comply with a rule or an order only if the court's authority cannot be vindicated through the imposition of a less severe alternative.” (Rail Services of America v. State Comp. Ins. Fund (2003) 110 Cal.App.4th 323, 331. See also Mileikowsky v. Tenet Healthsystem (2005) 128 Cal.App.4th 262, 279-80 (“A decision to order terminating sanctions should not be made lightly. But where a violation is willful, preceded by a history of abuse, and the evidence shows that less severe sanctions would not produce compliance with the discovery rules, the trial court is justified in imposing the ultimate sanction.”).)

Terminating sanctions are a last resort, and the incremental structure of the Discovery Act counsels that lesser, tailored remedies be tried before a party is deprived of a trial on the merits. Since new counsel associated in and the Court began actively supervising production in March 2026, Defendants have made substantial, albeit still incomplete, productions. That movement, though it does not excuse the earlier conduct or the remaining gaps, distinguishes this record from one of willful, total defiance.

Under the circumstances, the Court does not find that Defendants’ failure to respond was willful such that extreme sanctions such as terminating sanctions are warranted at this time. “The discovery statutes evince an incremental approach to discovery sanctions, starting with monetary sanctions and ending with the ultimate sanction of termination.” (Doppes v. Bentley Motors, Inc. (2009) 174 Cal.App.4th 967, 992.)

Issue Sanctions

Plaintiff alternatively requests four issue sanctions: (1) deeming all JKL design work product from 2015–2021 to have been generated by, derived from, and based upon material taken from PBA; (2) deeming JKL’s income for the years without financial data to be the average of the years for which some data exists; (3) deeming that, from 2015 through 2023 (or the present), Defendants used PBA’s software, programs, and macros to generate their design product; and (4) deeming the value of that software equal to PBA’s cost of creating it.

Issue sanctions may be imposed “ordering that designated facts shall be taken as established in the action in accordance with the claim of the party adversely affected by the misuse of the discovery process. The court may also impose an issue sanction by an order prohibiting any party engaging in the misuse of the discovery process from supporting or opposing designated claims or defenses.”¿(Code of Civ. Proc., § 2023.030, subd. (b).)¿

The sanction must be tailored to the harm caused by the withheld discovery. It may restore the party seeking discovery to the position it would have occupied had the discovery been produced; it may not place that party in a better one, and it may not resolve a genuinely disputed merits question as a proxy for punishment. (Victor Valley, supra, 91 Cal.App.5th at pp. 1141–1148; Padron, supra, 16 Cal.App.5th at p. 1259.)

Here, the Court is inclined to find that issue sanctions are warranted. Defendant's conduct is not a matter of isolated omission or inadvertent gaps in a large production. The materials at issue were demanded in 2020, made the subject of verified agreements to produce in 2021, ordered produced by the predecessor court in 2023, and ordered produced three more times by this Court in 2026 on March 19, April 30, and June 2. Across all of these hearings, Defendant has still not fully complied with the requested production. On this record, the misuse of the discovery process is willful, and a remedy beyond fees is warranted. The Court addresses each of Plaintiff’s requested issue sanctions in turn:

Issue Sanction Request Nos. 1, 4

The Court does not find these sanctions to be reasonably tailored to the harm caused by the withheld discovery. Request No. 1 would conclusively establish the central liability question across a six-year span, every project, and every customer, without regard to any nexus to the materials actually withheld. That is a de facto terminating sanction on liability. (Deyo, supra, 84 Cal.App.3d at p. 793; Padron, supra, 16 Cal.App.5th at p. 1259.) Request No. 4 would similarly fix the measure of damages as a matter of law, displacing expert testimony and cross-examination on a disputed valuation question.

Sanction Requests Nos. 1 and 4 are therefore DENIED as framed.

Issue Sanction Request No. 2

Unlike Requests Nos. 1 and 4, the income-averaging sanction of Request No. 2 does not adjudicate liability, does not adopt Plaintiff's valuation theory, and does not import any figure of Plaintiff's choosing. Defendants' objection that averaging overstates early-year revenue, given JKL's growth,

is not available to the party who failed to produce the records. The risk of uncertainty falls on the spoliator, not on the party deprived of proof.

Accordingly, JKL's annual gross income for each year without produced financial data is deemed to be the average of the years for which some data exists.

Sanction Request No. 2 is GRANTED.

Issue Sanction Request No. 3

As to Request No. 3, the Court declines Plaintiff's "through the present" framing given Defendants' acquisition of commercial software, but is inclined to impose a narrower sanction.

The Court will impose an order precluding Defendants from offering evidence or argument that they did not possess or use PBA’s software, programs, and macros to generate their design product.

Sanction Request No. 3 is GRANTED, in part.

Monetary Sanctions

Monetary sanctions are GRANTED in the full amount requested, $68,615.50, against Defendants Jason Lin and JKL Structural Engineering, Inc., jointly and severally, pursuant to Code of Civil Procedure sections 2023.010, 2023.030(a), and 2031.320. Defendants failed to comply with orders compelling production, and monetary sanctions are mandatory in that circumstance absent substantial justification or unjust circumstances. (Code Civ. Proc., §§ 2023.030, subd. (a), 2031.320, subd. (b).)

The Court finds the lodestar to be reasonable. Counsel sets forth hourly rates of $350 for counsel and $85 for paralegal time (Supplemental Macaulay Declaration ¶¶ 31-32), and the 190 hours incurred on sorting the April 2024 production. The $6,000 attributable to reply papers and the August 3, 2026 hearing has now been incurred and is likewise reasonable. Defendants have not shown substantial justification, and the sustained pattern of non-compliance forecloses any finding that the imposition of sanctions would be unjust. The Court does not impose sanctions against Defendants' present counsel, whose association has coincided with materially improved compliance.

The Court reminds Defendants that if a lesser sanction fails to curb misuse, a greater sanction is warranted; continuing misuses of the discovery process warrant incrementally harsher sanctions until the sanction is reached that will curb the abuse. (Doppes v. Bentley Motors, Inc. (2009) 174 Cal. App. 4th 967, 992.)

Monetary sanctions are GRANTED in the amount of $68,615.50.

Conclusion

Plaintiff's Supplemental/Second Amended Motion for Terminating, Issue, Evidentiary and Monetary Sanctions is GRANTED IN PART and DENIED IN PART as follows:

1. The request for terminating sanctions is DENIED.

2. The request for issue sanctions is GRANTED in part. The Court hereby orders issue sanctions that (1) JKL's annual gross income for each year for which no financial data has been produced is deemed to be the average of the years for which some financial data exists; AND (2) Defendants are precluded from offering evidence or argument that they did not possess or use PBA's software, programs, and macros to generate their design product.

3. Monetary sanctions are GRANTED in the amount of $68,615.50 against Defendants Jason Lin and JKL Structural Engineering, Inc., jointly and severally (exclusive of his counsel), payable to Plaintiff's counsel within 30 days of notice of this order.

Moving party to give notice.

Parties who intend to submit on this tentative must send an email to the Court at indicating intention to submit on the tentative, and copying all parties in the email communication. Please be advised that if you submit on the tentative and elect not to appear at the hearing, the opposing party may nevertheless appear at the hearing and argue the matter. Unless you receive a submission from all other parties in the matter, you should assume that others might appear at the hearing to argue. If the Court does not receive emails from the parties indicating submission on this tentative ruling and there are no appearances at the hearing, the Court will adopt the tentative as the final order, or take the matter off calendar at its discretion.